

S&P; 500 Weekend Market Report

Saturday, 1st February 2026

Well, another week in the books for 2026, and what a week it's been. The S&P; 500 closed Friday at 6,939.03 – down 30.98 points, or -0.45% for the five trading days. At the time of writing, that puts the index up roughly 1.2% year-to-date from the December 31st close of 6,845.50. Not terrible, but not exactly lighting the world on fire either.

The week's trading range tells its own story: we hit a high of 7,002.28 on Wednesday (right after the Fed's decision to hold rates steady) before sliding back to 6,893.48 on Friday. That's a 108-point swing in just two days – and it came courtesy of divergent earnings results from the mega-cap tech names, geopolitical tensions, and (most dramatically) a historic crash in precious metals markets.

Friday's action was extraordinary. Gold plunged over 11% and silver crashed 31.4% – the worst single-day moves in over four decades. Both metals had hit all-time highs just 24 hours earlier. If you're holding precious metals positions (and many DIY-investors are), this is something you need to understand. More on that below.

As ever, I've had my AI research assistant Cedric pull together the key news and sector movements for the week. What follows is my take on what matters (and what doesn't) for us DIY-investors navigating these markets.

What Moved the Market This Week

Kevin Warsh – The Next Fed Chair (And Friday's Market Catalyst)

Market uncertainty intensified on January 30th following news that Kevin Warsh, former Federal Reserve Governor, has emerged as the leading candidate for the next Fed Chair position. Betting markets rapidly adjusted odds for Warsh's appointment from approximately 30% on Thursday evening to roughly 85% by Friday morning.

Now, here's where it gets interesting. Whilst Warsh's selection may provide some market reassurance regarding Fed independence relative to White House pressure (he's known as a hawk, not a Trump loyalist), his nomination triggered a chain reaction across multiple asset classes on Friday.

The U.S. Dollar Index roared back from a four-year low, trading approximately 0.8% higher. Treasury yields spiked. And precious metals – which had been trading at record highs on Thursday – absolutely collapsed. Gold fell 11%, silver crashed 31.4%. I'll address the metals carnage in detail below, but the key point here is this: one policy announcement rippled through currencies, bonds, commodities, and equities all at once.

The unprecedented transition of Fed leadership amid the Trump administration's continued criticism of Jerome Powell has created elevated policy uncertainty heading into February. Bond futures markets are currently pricing in one to two additional cuts for 2026, but I wouldn't count on it – unless the new Fed Chair plays the 'puppet' to President Trump. And based on Warsh's track record, that seems unlikely.

The Precious Metals Crash – A Once-in-40-Years Event

Right, let's talk about what happened in the precious metals markets on Friday. Because if you're holding gold or silver positions (or considering them), this matters.

The Data:

- Spot gold fell approximately 9% to \$4,895.22/oz (gold futures dropped 11.4% to settle at \$4,745.10/oz)
- Silver futures plummeted 31.4% to settle at \$78.53/oz (spot silver crashed 28% to \$83.45/oz)
- Silver's 31.4% single-day drop was its worst performance since March 1980
- Gold's 11-12% plunge was its biggest intraday decline in over 40 years

The Context:

Less than 24 hours earlier, both metals had hit all-time highs. Gold briefly touched \$5,584-\$5,600/oz late in the week. Silver hit an all-time high of \$121.64/oz on Thursday, January 29th. Then came the Warsh announcement, and the floor fell out.

What Triggered the Crash:

Three factors converged on Friday to create a perfect storm:

1. The Warsh Nomination and Dollar Strength

As noted above, Warsh's nomination relieved concerns about Fed independence and triggered a sharp dollar rally. A stronger dollar makes it more expensive for foreign investors to buy precious metals – and it spoiled the narrative that metals would replace the greenback as the globe's reserve currency. That was the fundamental catalyst.

Evercore ISI's Krishna Guha put it well: "The Warsh pick for Fed Chair should help stabilise the dollar and reduce the asymmetric risk of deep extended dollar weakness by challenging debasement trades – which is also why gold and silver are sharply lower."

2. CME Margin Requirement Increases

The CME Group implemented critical margin hikes on Friday – the second margin increase in three days for all precious metals. Maintenance margins rose 33% for gold futures and 36% for silver futures. CME had moved to a percentage-based margin system in January 2026, hiking maintenance margins to 15% for standard positions (up to 16.5% for heightened risk).

Here's the thing: when you've got leveraged speculators piling into a parabolic rally, and margin requirements suddenly spike, forced liquidations follow. Matt Maley, equity strategist at Miller Tabak, stated: "Most of this is probably 'forced selling.' This has been the hottest asset for day traders and other short-term traders recently. So, there has been some leverage built up in silver. With the huge decline today, the margin calls went out."

The margin hikes flushed out over-leveraged positions and intensified the selling pressure. Once prices began slipping, algorithmic selling kicked in and the decline became self-reinforcing.

3. Profit-Taking After a Parabolic Rally

Both metals had experienced extraordinary gains before the correction. Silver had rallied approximately 65% in January at its peak (before Friday's crash). Gold was on track for a monthly gain exceeding 15% for January – one of gold's strongest monthly performances since the 1980s.

After a move like that, aggressive profit-taking was inevitable. Commerzbank AG noted: "The magnitude of the correction suggests investors were simply waiting for an opportunity to book profits after the rapid price rise." Once the selling started, large institutional players sought to secure gains – and that accelerated the decline.

My Take on the Metals:

Despite the carnage on Friday, both metals remain significantly higher for January 2026. Gold is still up roughly 15% for the month (even after the correction). Silver remains on track for a monthly gain of more than 30%.

The fundamental bull case for precious metals hasn't disappeared: heightened economic and geopolitical uncertainty, tight physical market conditions, record investment inflows, strong industrial demand for silver (fifth consecutive year of market deficit), and ongoing central bank buying. The World Gold Council expects central bank demand to remain strong, averaging 585 tonnes quarterly in 2026.

But here's what Friday's crash tells us: these markets had become over-extended and over-leveraged. The correction was violent, but it may well prove healthy if it shakes out the weak hands and resets the technical picture.

Several analysts (including Wall Street futures legend Peter Brandt and strategist Marko Kolanovic, who had been bearish) "ditched their bearish outlooks and tactically shifted bullish" after the crash. J.P. Morgan expects gold demand to push prices toward \$5,000/oz by year-end 2026. Bank of America suggests silver could top out between \$135 and \$309 in 2026. Citibank predicts a \$150 silver price target.

So is this a buying opportunity? Perhaps. But I'd wait for the dust to settle before piling in. Volatility like this tends to create further volatility in the near term.

The Fed Holds Steady – But Don't Expect Much Help Going Forward

The Federal Reserve concluded its January 28th meeting with a unanimous decision to hold the federal funds rate at 3.5 to 3.75 percent. This marks the first pause since July 2025, after three consecutive 25 basis point cuts from September through December.

Chair Powell characterised the current policy stance as "appropriate to promote progress toward both maximum employment and 2 percent inflation goals." That's Fed-speak for: we're done cutting for now, folks. Powell also noted that "inflation remains somewhat elevated" and "uncertainty about the economic outlook remains elevated" – which is code for: we're not in any rush to ease further.

The key takeaway here is that equity market support from monetary policy is diminishing. Markets will need to rely increasingly on fundamental earnings growth rather than Fed easing tailwinds. That's not necessarily a bad thing – but it does mean we're entering a different environment than the one we enjoyed in late 2025.

Iran Tensions Push Oil Higher – But the Market Isn't Panicking (Yet)

The most significant external geopolitical risk this week involved escalating U.S.-Iran tensions. President Trump announced renewed military threats against Iran, with his administration signalling the deployment of a naval armada to the Middle East region. Crude oil prices responded accordingly, with Brent exceeding \$70 per barrel at intraday peaks.

Here's the thing, though: the war premium embedded in oil prices remains modest – estimated at roughly \$4 per barrel. BloombergNEF analysis suggests that a complete removal of Iranian crude from global markets could theoretically push Brent to \$91 per barrel by Q4 2026, but that assumes a sustained disruption through the year. The current well-supplied crude market (BNEF forecasts a 3.2 million barrel-per-day surplus for 2026) is providing some cushion.

So whilst the geopolitical noise is elevated, the market is currently pricing this as manageable. That said, a Strait of Hormuz blockade or major escalation could rapidly reprice both oil and equities. Worth watching closely.

Trump's Housing Policy Shakes Up Real Estate

President Trump announced an executive order banning institutional investors from purchasing single-family homes – a policy aimed at improving housing affordability. The order directs federal agencies to prevent programmes from approving, insuring, guaranteeing, or facilitating sales of single-family homes to institutional investors.

Additionally, Trump called on Congress to cap credit card interest rates at 10% for one year and instructed government-backed institutions to purchase up to \$200 billion in mortgage-backed securities to reduce borrowing costs.

The Real Estate sector responded positively, posting gains of 4.09% during the week of January 16–23. That's a notable reversal from the sector's lacklustre 2025 performance. We'll see whether this policy announcement translates into sustained strength or proves to be a short-term rotation trade.

Big Tech Earnings – The Great Divergence

This week delivered sharply divergent results from the technology heavyweights, and it's created a genuine shift in investor sentiment regarding AI-driven capital spending. Let me break down the key movers:

Microsoft collapsed 10% during intraday trading following disappointing quarterly guidance. The company reported slowing cloud growth and a massive \$250 billion long-term commitment to OpenAI infrastructure spending. That raised serious concerns about near-term profitability headwinds. Microsoft lost \$357 billion in market capitalisation during the sell-off – the largest single-day loss for any company in 2026 to date.

Meta Platforms, meanwhile, surged 9% after exceeding both revenue and earnings expectations. The company reported Q4 EPS of \$8.88 versus \$8.20 consensus, with revenues of \$59.9 billion (representing 24% year-over-year growth). Critically, Meta's Q1 2026 guidance of \$53.5 billion to \$56.5 billion (at the midpoint suggesting roughly 30% growth) signalled confidence in sustained advertising momentum and the efficacy of its AI-driven targeting capabilities.

Management's announcement of aggressive capital expenditure guidance (\$115–\$135 billion for 2026) was met with enthusiasm rather than scepticism. Investors interpreted the spending as a "fuel injection" for an already high-performing business engine – not a desperate attempt to find revenue growth.

Apple beat expectations with stellar iPhone revenue growth of 23% year-over-year, reaching \$85.27 billion. CEO Tim Cook characterised iPhone demand as "simply staggering," with supply constraints signalling continued strength. The company raised Q2 guidance to a range of 13–16% revenue growth, exceeding analyst expectations by a meaningful margin.

The Takeaway: The market is now differentiating between speculative AI infrastructure spending (Microsoft) and monetisable AI-driven revenue growth (Meta's advertising, Apple's services). That's a critical shift in investor sentiment regarding the sustainability of the current AI bull market. If you can't demonstrate how your AI capex translates into revenue and earnings accretion, the market is increasingly sceptical.

Sector-by-Sector Snapshot

Here's a quick rundown of how the major sectors performed this week:

Sector	**Weekly Performance**	**YTD Trend**	**Key Movers**
Energy	+3.1%	Strong leader	Oil prices driven by Iran geopolitics
Materials	+2.6%	Outperformer	Copper deficit; precious metals crash Friday
Real Estate	+4.09%	Rotating leadership	Institutional home-buying ban + housing policy
Communication Services	Positive	Rotating higher	Meta +9% on earnings beat
Consumer Discretionary	Mixed	Under pressure	Coupage -18.3%, DraftKings -13.3%
Industrials	Positive	+20% YTD	Moog +14% guidance raise; Caterpillar beats on AI
Technology	Mixed	Volatile	Microsoft -10%; Apple +1%; Tesla -4.6%
Healthcare	Outperform rated	Undervalued	Tariff exemptions + R&D expensing benefits expected
Financials	Weak	Volatile	Banks beat Q4; credit concerns emerging
Consumer Staples	+0.9%	Defensive	Tax credit stimulus providing tailwinds
Utilities	Underperform rated	AI power demand theme	Grid modernisation gaining traction

I won't bore you with exhaustive detail on every sector, but a few observations worth noting:

Energy is benefiting from Iran tensions (obviously), but also from a more structural theme: AI-driven power demand. Companies like Baker Hughes [BKR] have surged more than 20% year-to-date, driven by demand for gas extraction equipment and high-efficiency turbines. The energy sector's outperformance is becoming increasingly correlated with AI-driven power demand rather than traditional commodity cycles.

Materials & Mining had a split personality this week. On one hand, the sector is benefiting from three concurrent structural tailwinds: (1) AI-driven demand for semiconductors, batteries, and data centre infrastructure components; (2) geopolitical supply-chain diversification away from China, particularly for rare earth elements and critical minerals; and (3) years of underinvestment in mining supply growth, creating structural supply deficits across copper, lithium, and other transition metals. Copper faces its largest supply deficit in 22 years for 2026.

On the other hand, precious metals miners took an absolute hammering on Friday following the gold and silver crash. If you're holding gold or silver mining stocks, you likely saw significant losses on Friday. The question now is whether this represents a buying opportunity (as some analysts suggest) or further downside risk if the metals continue to consolidate.

Industrials has emerged as an unexpected beneficiary of AI-driven infrastructure spending. Caterpillar [CAT] reported Q4 revenue of \$19.1 billion (up 18% year-over-year), driven primarily by surging demand for power-generation machinery amid the data centre expansion wave. The company cautioned that tariffs could reduce 2026 operating profit by \$2.6 billion, though strong power equipment demand is offsetting this headwind. The broader Industrials sector has outperformed the S&P; 500 by 20 percentage points year-to-date.

Healthcare remains positioned as a long-term outperformer based on structural tailwinds: ageing demographics, expected tariff exemptions from the Trump administration, and the One Big Beautiful Bill Act providing immediate expensing of R&D; costs for pharmaceutical and biotech companies. However, near-term headwinds from Medicare rate pressure (UnitedHealth Group [UNH] declined roughly 8.7% on January 26th following CMS guidance that Medicare Advantage payment rates would increase by only 0.1% in 2027) are creating tactical volatility.

Technology is undergoing a critical revaluation regarding the return on AI capital investments. As noted above, the divergence between Microsoft and Meta signals a market shift from generic "AI infrastructure plays" toward companies with clear paths to revenue accretion from AI technology investments.

Where We Stand

The S&P; 500's close of 6,939.03 on January 30th places the index approximately 93 points below its December 2025 intramonth high of 7,002.28 – a 1.3% pullback from the month's peak. However, the index remains well above its 52-week low of 4,835.04 (reached during the 2025 bear market scare), reflecting a 43.5% advance from the 2025 market bottom.

Over the trailing 12 months, the index has appreciated roughly 17.7% – which is consistent with long-term historical returns and reflects the resilience of the U.S. equity market despite the 2025 bear market scare, geopolitical uncertainty, and elevated policy volatility surrounding the Trump administration's tariff and immigration policies.

The "January Barometer" – a historically reliable indicator in which positive January returns have predicted bullish annual performance in 41 of 46 years – is currently supported by the S&P; 500's YTD gain of 1.2%. However, the margin is narrow enough to create genuine execution risk should equity market sentiment deteriorate in early February.

My Take – What to Watch in the Week Ahead

A few key themes worth monitoring as we head into February:

1. Precious Metals Volatility and the Dollar

Friday's historic crash in gold and silver is a stark reminder that no asset class is immune to violent corrections – particularly when leverage builds up in a parabolic rally. The relationship between dollar strength and precious metals remains the critical variable to watch.

If the dollar continues to strengthen (particularly if Warsh's Fed Chair appointment is confirmed and markets price in a more hawkish policy stance), precious metals could face further pressure in the near term. Conversely, any renewed dollar weakness or geopolitical escalation could provide a floor under prices.

For DIY-investors holding precious metals positions: this is a good moment to reassess your risk tolerance and position sizing. If you're over-leveraged or over-exposed, Friday's action should serve as a wake-up call. If you're underweight and looking for entry points, I'd wait for further consolidation before diving in.

2. Earnings Quality vs. Quantity

The divergence between Microsoft (growth at any cost) and Meta (growth with profitability) has become the central driver of market leadership. Investors are increasingly sceptical of pure AI infrastructure plays and are rewarding companies with clear paths to AI-driven revenue and earnings accretion. If you're holding AI-related names, it's worth asking: can this company demonstrate how its AI capex translates into monetisable revenue? If not, you may be swimming against the tide.

3. Fed Policy Pause Reduces Risk Support

With the Fed now on hold and inflation "somewhat elevated," equity market support from monetary policy is diminishing. The market must rely increasingly on fundamental earnings growth rather than Fed easing tailwinds. That's not necessarily bearish, but it does mean valuation multiples are less likely to expand from here. Earnings matter more than ever.

4. Geopolitical Risk Premium Is Real but Manageable (For Now)

Iran tensions have added only \$4 per barrel to crude oil prices, suggesting the market is currently pricing in a manageable conflict scenario. However, a Strait of Hormuz blockade or major escalation could rapidly reprice both oil and equities. Worth keeping on the radar.

5. Sector Rotation Is Accelerating

The 20% YTD outperformance of Industrials, the 4% weekly surge in Real Estate, and the strength in Energy suggest a rotation away from mega-cap growth and toward cyclical, value, and infrastructure-exposed equities. This could be a sustainable structural shift if it reflects genuine economic confidence in non-AI sectors. Or it could prove to be a short-term rotation trade that fizzles out. Time will tell.

6. January Barometer Intact but Fragile

With a YTD gain of 1.2%, the historically favourable January Barometer is still in effect, but only narrowly. A material February decline could reverse this signal and suggest a more challenging year for equities. I'm not suggesting we panic if February is negative – but it's worth noting that the margin of safety here is thin.

Final Thoughts

It can only be a matter of time until the market experiences a meaningful correction. My (famous?) "Rubber Band" is stretched pretty taut, as markets remain very elevated. Friday's precious metals crash is a reminder that when over-leveraged positions unwind, the moves can be violent and swift.

That said, I'm not in the business of trying to call tops and bottoms – and neither should you be. What I am watching closely is earnings quality, sector rotation, the sustainability of AI-driven capital spending, and the dollar's trajectory following the Warsh nomination.

If companies can demonstrate genuine revenue and earnings accretion from their AI investments, this bull market has room to run. If the dollar stabilises (rather than continuing to weaken), that could provide a more balanced backdrop for equities even if it pressures commodities. And if the Fed maintains its independence under Warsh's leadership, that could actually prove constructive for markets over the medium term – even if it creates near-term volatility.

As ever, do your own research, and don't let the market's short-term noise derail your long-term strategy. Friday's metals crash was dramatic, but it doesn't change the fundamental investment case for diversified portfolios focused on quality, profitability, and reasonable valuations.

With my best wishes,

Mick

Cedric (Mick's AI Research Assistant) - Data compiled 31.01.2026

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